panicky selling by thousands of self-styled investors. The professional investor has no choice but to sit by quietly while the mob has its day, until the enthusiasm or the panic of the speculators and nonprofessionals have been spent.

The seasoned investor does not allow temporary fluctuations in stock-market prices to influence his decisions to any great extent. Usually, he waits until prices return to approximately the levels at which he wants to buy or sell. He is not impatient, nor is he even in a very great hurry, for he is an investor—not a gambler nor a speculator.

It is the emotional nonprofessional investor who sends the price of a stock up or down in sharp, sporadic and more or less short-lived spurts.

People often ask me what specific advice I would give to individuals who have various amounts—$1000, $10,000, $100,000 or even more—to invest in common stocks. My answers are always the same. Whether I had $100 or $1,000,000 to invest, I would consider buying *only* such common stocks as are listed on a major stock exchange. I would apply the rules and tests I've enumerated and select the soundest and most promising growth stocks. And, I might add, I would certainly ignore the advice of promoters and theorists who peddle harebrained formulas or "secret" methods for making huge and quick profits on the stock market. There has been a spate of *How to Get Rich Overnight* books in recent years. Seasoned financiers and investors laugh at them—or rather, they feel only pity for the gullible individuals who follow the "advice" contained in such tomes. The May, 1962 Wall Street collapse pulled down many of these "blinkered" speculators, so its history should be worth examining.

In order to achieve any understanding of that collapse, it is helpful to first quickly trace the course of the market over